



LIFE REPORT

FOR THE NINE MONTHS ENDED
30 SEPTEMBER 2022



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- iii. This report relates to Life Assurance and Reassurance business written by Life Assurers and Reassurers.
- iv. Please Note: All Monetary Figures are in ZW\$ except stated otherwise.
- v. All ZW\$ amounts are expressed in nominal terms, except where specifically stated to be in real terms.

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ABBREVIATIONS

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA Insurance Act (Chapter 24:07)	Prescribed Assets as defined by the
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP Programme	Zimbabwe Integrated Capital and Risk

1. Executive Summary

- 1.1 For the third quarter ended 30 September 2022, the Life Assurance Sector was made up of 12 direct Life Assurance companies, four (4) Life Reassurance companies and 1,348 life agents.
- 1.2 Of the 12 registered Life Assurance companies, only Heritage Life Assurance Company failed to submit its return.
- 1.3 For the 3 quarters that ended 30 September 2022, the Life Assurance Sector reported a Gross Premium Written (GPW) of ZW\$37.5 billion, representing a nominal increase of 220% from ZW\$11.7 billion reported in the comparative period in 2021. The sector experienced inflation- adjusted negative growth in GPW of 16%.
- 1.4 Growth in GPW was mainly attributable to premium adjustment in line with rising inflation. The two classes which contributed to the significant increase are Funeral Assurance and Group Life Assurance business.
- 1.5 GPW for life reassurers grew by 196% in nominal terms, from ZW\$396.1 million reported for the 3 quarters that ended on 30 September 2021 to ZW\$1.173 billion for the 3 quarters that ended on 30 September 2022.
- 1.6 After adjusting for inflation, the GPW for Life Reassurers decreased by 22% from ZW\$396.1 million reported for the 3 quarters that ended on 30 September 2021 to ZW\$308.5 million for the 3 quarters that ended on 30 September 2022.
- 1.7 For the 3 quarter that ended 30 September 2022, the Life Assurance Sector reported Foreign Currency business amounting to US\$14.1 million. Funeral Assurance business was the major contributor with one entity writing almost 50% of the business.
- 1.8 Life Reassurance sector reported Foreign Currency business amounting to US\$1.7 million for the 3 quarters that ended on 30 September 2022.
- 1.9 All the 11 Life Assurance companies who submitted their returns and all four (4) Life Reassurance companies reported capital positions that were compliant with the prescribed Minimum Capital Requirements (MCR) of ZW\$75 million and ZW\$112.5 million under SI 95 of 2017, respectively as at 30 September 2022. Effective 1 January 2023, all entities will be required to assess capital position using ZICARP, a risk-based solvency assessment regime.
- 1.10 Direct Life Assurers reported 10% nominal growth in total assets from ZW\$194.8 billion as at 30 June 2022 to ZW\$214.6 billion as at 30 September 2022.
- 1.11 Nominal growth in assets was mainly attributed to revaluation gains, derived from investment properties.
- 1.12 The asset base for composite Reassurers grew by 17% from ZW\$7.3 billion as at 30 June 2022 to ZW\$8.5 billion as at 30 September 2022.
- 1.13 As at 30 September 2022, the average prescribed asset ratio for Life Assurers and Life Reassurers stood at 8.21% and 6.70%, respectively.
- 1.14 Three entities which comprises of two direct Life Assurers and one Life Reassurers were compliant with the minimum prescribed asset ratio of 15%.

- 1.15 For the 3 quarters that ended 30 September 2022, the Life Assurance Sector reported a nominal profit after tax of ZW\$64.5 billion, representing a 404% increase from ZW\$12.8 billion reported for the comparative period in 2021.
- 1.16 After-tax profit for Life Reassurers increased by 526% from ZW\$376.4 million reported for the 3 quarters that ended 30 September 2021 to ZW\$2.4 billion for the 3 quarters that ended 30 September 2022.
- 1.17 After adjusting for inflation, profit after tax for the Life Assurance and Reassurance Sectors, increased by 63% and 53% respectively.
- 1.18 The increase in profit after tax for Life Assurers and Reassurers is mainly attributable to high investment returns from revaluation gains on investment properties.

Table 1 : Summary of Key Financial Indicators for Life Assurers.

	Life Assurance				
Financial Aspect (ZW\$000)	Sep-21	Sep-22	Sept- 22 inflation-adjusted	Growth adjusted	Inflation-
GPW	11,718,900	37,535,006	9,867,246	-16%	
NWP	11,435,268	36,545,667	9,607,168	-16%	
Claims incurred	2,549,600	12,757,233	3,353,637	32%	
Management Operating Expenses	2,060,514	47,668,945	12,531,268	508%	
Commissions	404,527	2,171,710	570,902	41%	
Technical Costs	5,014,641	62,597,889	16,455,807	228%	
Profit after Tax	12,321,970	329,488,974	86,616,449	34%	
Financial Aspect	Jun-22	Sep-22	Growth (%)		
Total Assets	194,766,072	214,556,875	10%		
Total Liabilities	96,360,373	113,825,705	18%		
Capital	98,405,699	100,731,170	2%		
Capital to Liability Ratio	102%	88%	-13%		
Prescribed Assets	9,436,355	17,611,710	87%		
PA Ratio (%)	4.84%	8.21%	69.60%		

Table 2 : Summary of Key Financial Indicators for Life Assurers.

	Life Reassurance				
Financial Aspect (ZW\$000)	Sep-21	Sep-22	Sept- 22 inflation-adjusted	Growth adjusted	Inflation-
GWP	266,670	1,173,607	612,530	130%	
NWP	246,697	971,476	507,034	106%	
Claims incurred	62,981	267,823	139,782	122%	
Management Operating Expenses	23,251	263,346	137,446	491%	
Commissions	42,790	221,167	115,432	170%	
Technical Costs	129,022	752,336	392,660	204%	
Profit after Tax	199,106	2,314,268	1,207,864	507%	
Financial Aspect	Jun-22	Sep-22	Growth (%)		
Total Assets	7,272,023	8,528,060	17%		
Total Liabilities	2,786,632	4,138,378	49%		
Capital	4,485,392	4,389,682	-2%		
Capital to Liability Ratio	161%	106%	-34%		
Prescribed Assets	452,861	571,119	26%		
PA Ratio (%)	6.23%	6.70%	7.50%		

2. The Insurance and Pensions Commission at Glance

- 2.1 The Insurance and Pensions Commission (IPEC) is a Statutory Body mandated to regulate, supervise, and develop the insurance and pensions industry, for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2 This Report outlines industry developments and IPEC's various activities in the insurance sector, consistent with its statutory mandate for the 3 quarters that ended 30 September 2022.

3 Terms of Reference

3.1 The activities of the Commission are guided by the following Acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]
- Pensions and Provident Funds Act [Chapter 24:32]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate Governance Act [Chapter 10:31]
- Public Finance Management Act [Chapter 22:19] and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]



4 Economic Developments

4.1 Global and Regional Economic Outlook

Global output growth forecast for 2022 was unchanged at 3.2%, whilst that of 2023 was revised down to 2.7% (IMF, 2022). Economic, geopolitical and ecological changes continue to impact on the global outlook. The souring global inflation exacerbated by the war in Ukraine has led to tightening of monetary policies and household budgets.

Advanced economies are expected to grow by 2.4% in 2022, and Emerging Markets by 3.7% (Table 1). Sub-Saharan Africa (SSA) growth is projected at 3.6% in 2022, and to marginally improve to 3.7% in 2023. The World Bank forecasts a slightly lower growth of 3.3% for SSA in 2022 on the back of slowing down of the global economy, tightening global financial conditions, rising food and fuel prices, adverse weather conditions, and rising risk of debt distress.

Table 3: World Economic Outlook Projections

	2021	2022	2023
World Output	6.0	3.2	2.7
Advanced Economies	5.2	2.4	1.1
USA	5.7	1.6	1.0
Euro Area	5.2	3.1	0.5
Emerging Markets and Developing Economies	6.6	3.7	3.7
China	8.1	3.2	4.4
Sub-Saharan Africa	4.7	3.6	3.7
Nigeria	3.6	3.2	3.0
South Africa	4.9	2.1	1.1
Zimbabwe	7.8	4.6	5

Source: October 2022 World Economic Outlook Update, IMF Projections

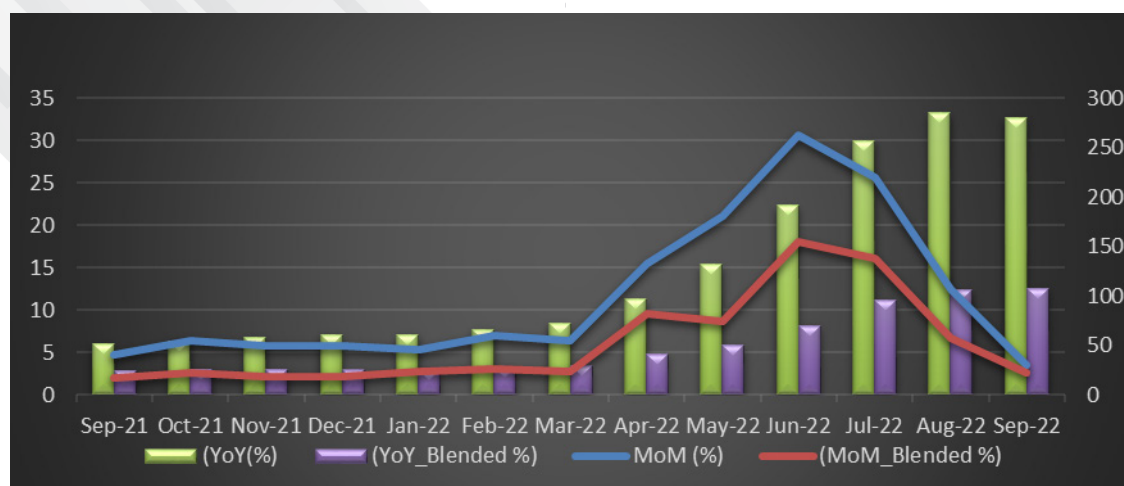
4.2 Domestic Economic Outlook

The economy is projected to grow by 4.6% in 2022, a downward revision from an initial 5.5% projection (Ministry of Finance, 2022). The 2022 growth projection is supported by increased activity in all the productive sectors except agriculture that was weighed down by the unfavourable 2021/22 rainfall season and high input costs. In the outlook, the economy is projected to continue on the growth trajectory, with an expected growth of 5% in 2023 underpinned by favourable international commodity prices, stable macroeconomic environment; and improved production in all sectors of the economy.

4.3 Exchange Rate Developments

The Zimbabwean dollar depreciated against the US dollar from an average of US\$1:ZW\$366.3 as at 30 June 2022 to US\$1:ZW\$621.5 as at 30 September 2022. Higher demand for foreign currency as a store of value, as well as forward exchange rate pricing due to high inflation expectations, contributed to the exchange rate depreciation.

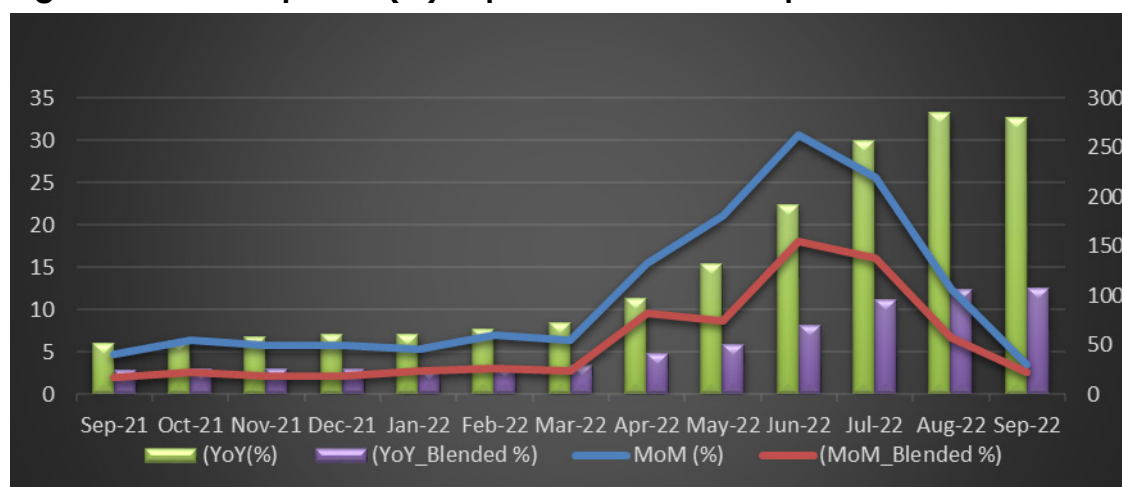
Figure 1: Interbank Exchange Rate September 2021 to September 2022 (US\$/ZWL) End of period



4.4 Inflation Developments

The year on year inflation rate increased to 280.4% in September of 2022, from 191.6% recorded in June 2022, driven by imported inflation and speculative behaviour by economic agents. The month-on-month inflation rate was 3.5% as at 30 September 2022, down from 30.7% recorded as at 30 June 2022 on account of the decrease in food and non food inflation following the introduction of fiscal and monetary stabilisation measures during the period under review. Figure 2 illustrates the inflation trend from September 2021 to September 2022.

Figure 1: Inflation profile (%) September 2021 to September 2022

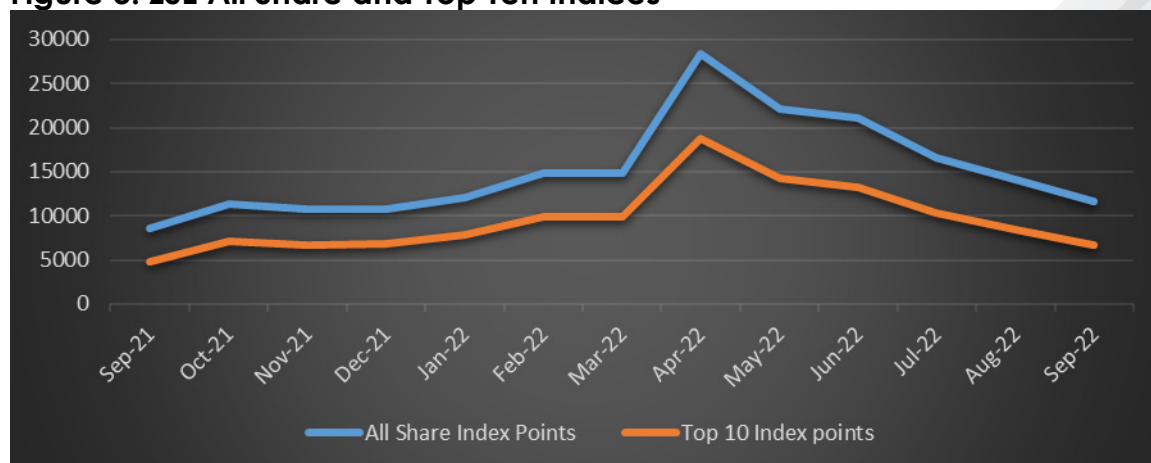


Source: Zimbabwe National Statistics Agency

4.5 . Zimbabwe Stock Exchange Performance

The Zimbabwe Stock Exchange (ZSE) was characterized by bearish sentiments for the third quarter. Consequently, the All Share, Top 10, Top 15 indices and Medium Cap declined by 17.41%, 20.03%, 18.65%, and 12.09% to close the quarter at 13 705.12 points, 8 209.35 points, 9 199.73 points and 29 026.80 points, respectively. Similarly, the resources index shed 22.72% to close at 15 473.37 points. In the short to medium term, the bearish sentiments on the ZSE are expected to continue, on the back of the tight monetary and fiscal policy measures, which have significantly reduced speculative liquidity in the economy.

Figure 3: ZSE All Share and Top Ten Indices



Source: Zimbabwe Stock Exchange

The market capitalization closed at ZW\$1,819.16 billion in September 2022. On a year-on-year basis, ZSE capitalization rose by ZW\$786.68 billion, or 76.19%.

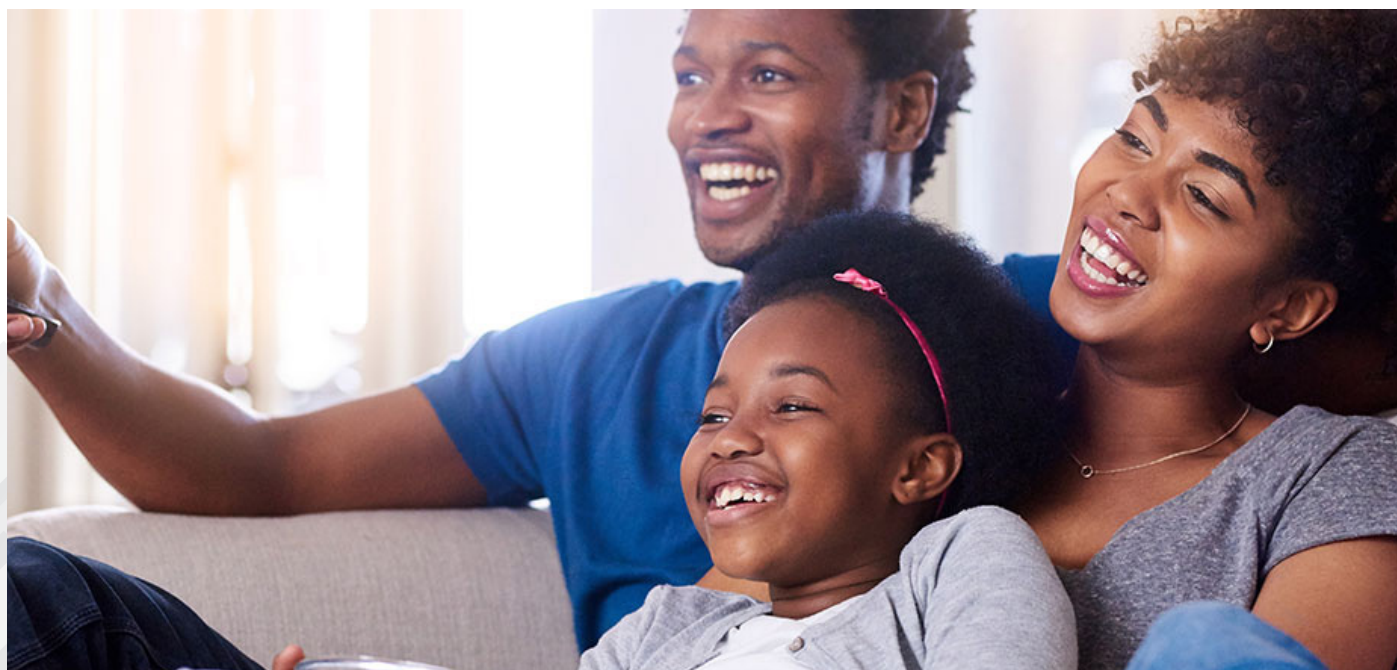
Victoria Falls Stock Exchange (VFEX) Performance

The VFEX was bullish in the third quarter which resulted in a 24% increase in the VFEW All Share Index to close the quarter at 143.16 points from 115.39 recorded in the second quarter. Total market turnover declined by 81% to reach US\$0.595 million as at 30 September 2022, from US\$3.19 million in the previous quarter. The market capitalisation increased by 25% from the previous quarter, to end at US\$341.67 million.

4.6 . Money Market Developments

Savings Deposit Rates

The annual inflation rate of 280.4% as at 30 September 2022, exceeds interest rates on savings deposits, which averaged around 20%. This suggests that money market investments continue to yield negative real returns.



5. Regulatory Developments for the nine months ended 30 September 2022

Circulars and Statutory Instruments

5.1 The Commission issued the following Statutory Instruments and Circulars to the Insurance Industry as shown in Table 6 below.

Table 4: Statutory Instruments and Circulars issued

Statutory Instrument (S.I.)	Date Gazetted	Purpose
S.I. 45 of 2022	18 March 2022	Revision of fees payable to the Commission.
S.I. 46 of 2022	18 March 2022	Revision of levies payable to the Commission.
Circulars	Date of Issue	Purpose
Circular 3 of 2022	7 February 2022	2022 Global Money Week Activities.
Circular 4 of 2022	3 February 2022	International Financial reporting standard (IFRS) 17 Training.
Circular 5 of 2022	7 February 2022	Zimbabwe Integrating Capital and Risk Programme (ZICARP) Pillar 1 31 December 2021 reporting.
Circular 8 of 2022	14 February 2022	Financial Intelligence Unit Directive on revised thresholds for cash transaction reports, electronic funds transfer, and international funds transfers.
Circular 9 of 2022	15 February 2022	Appointment of Beacon Actuarial Services to Develop Mortality tables for the Zimbabwean Insurance and Pensions industry.
Circular 10 of 2022	4 March 2022	Guidance Paper implementation: Clarification on the roles of Fund Administrators, Actuaries, Accountants and Asset Managers.
Circular 12 of 2022	29 March 2022	Registration requirements for Individual Agents.
Circular 13 of 2022	18 March 2022	Notification of Publication of the Insurance and Pensions (Levy) Regulations, 2022 and Insurance (Amendment) Regulations, 2022.
Circular 14 of 2022	29 March 2022	Amendment to the Directive on Governance and Risk Management for Insurance Companies.
Circular 15 of 2022	24 March 2022	Zimbabwe Integrating Capital and Risk Programme (ZICARP) Training Way Forward.
Circular 16 of 2022	23 March 2022	Registration of Insurance and Pensions industry players on go AML.
Circular 17 of 2022	28 March 2022	Mortality Tables Development Project- Industry Workshop.

Circular 20 of 2022	03 May 2022	Mortality Tables Development Project- Request for data.
Circular 21 of 2022	09 May 2022	Call for inputs-Insurance and Pensions Industry response paper to policy measures to restore confidence, preserve value and restore macro-economic stability-President's speech (07 May 2022)
Circular 22 of 2022	12 May 2022	Presentation of Mock Own Risk and Solvency Assessment (ORSA) results.
Circular 26 of 2022	15 June 2022	Request for the Insurance and Pensions Industry's input into the 2022 mid-term national budget review.
Circular 29 of 2022	15 July 2022	Invitation to the industry engagement workshop on the pre-2009 loss of value (2009 Compensation) Regulations and Modalities.
Circular 31 of 2022	25 July 2022	Request for Industry Comments on Draft Pre-2009 Compensation Regulations.
Circular 35 of 2022		Sponsorship Request for the Inaugural Insurance and Pension Industry Awards.
Circular 37 of 2022	25 August 2022	Guidance Paper implementation: Waiving of Peer Review and June Valuation.
Circular 38 of 2022	14 September 2022	Request for Insurance and Pensions Industry's Inputs into 2023 National Budget.
Circular 39 of 2022	19 September 2022	Gold Coin Investment by the Insurance and Pensions Industry.



6 Life Assurance Sector Architecture

- 6.1 As at 30 September 2022, there were 12 registered Life Assurers and four (4) registered Life Reassurers under the supervision of the Insurance and Pensions Commission (IPEC).
- 6.2 However, this report is based on 11 out of the 12 direct Life Assurers, and the four Reassurers.
- 6.3 Heritage Life failed to submit returns for the third quarter to September 2022.
- 6.4 Life Assurers had 1, 348 agents comprising both corporate agents and Individual life agents as shown in table six (6) below:

Table 4: Distribution of Life Agents, Staff and Branches across Life Assurers

LIFE ASSURANCE INDUSTRY STRUCTURE					
Name Of Company	Corporate Agents		Sole Agents		Total
	Jun-22	Sep-22	Jun-22	Sep-22	Sep-22
CBZ Life	3	3	35	35	38
Doves Life	0	11	192	192	203
Econet Life	0	1	0	0	1
Evolution Health and Life	0	0	0	0	0
Fidelity Life	0	0	34	44	44
First Mutual Life	0	11	220	220	231
Nhaka Life	1	0	16	10	10
Heritage Life	0	0	0	0	0
Nyaradzo Life	7	0	345	319	319
Old Mutual Life	13	0	139	139	139
ZB Life	0	0	130	112	112
Zimnat Life	0	0	251	251	251
Total	24	26	1362	1322	1348

****Heritage Life failed to submit its returns for Q3 of 2022**

- 6.5 As at 30 September 2022, the number of agents for the life assurance sector increased from 1, 323 reported as at 30 September 2021 to 1, 348 reported as at 30 September 2022.



Performance in Terms of Gross Premium Written

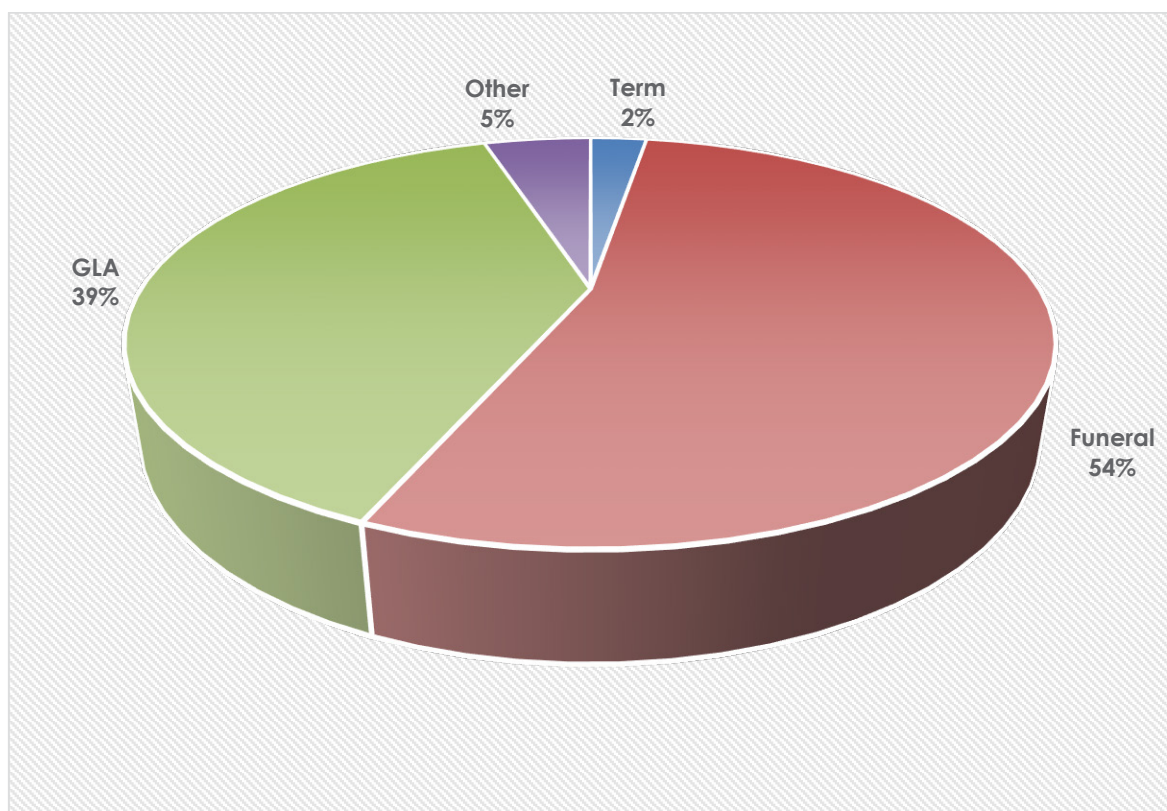
6.6 For the 3 quarters that ended on 30 September 2022, GPW by direct Life Assurers grew by 220% in nominal terms from ZW\$11.7 billion recorded for the 3 quarters that ended on 30 September 2021 to ZW\$37.5 billion for the current reporting period.

6.7 Based on inflation-adjusted figures, GPW decreased by 16% from ZW\$11.7 billion in September 2021 to ZW\$10 billion during the period under review. The negative real growth is attributable to an increase in premiums which was below the year-on-year rate of inflation of 280.4% as at 30 September 2022.

6.8 The main drivers of growth in GPW for the 3 quarters that ended on 30 September 2022 were Funeral assurance products and Group Life Assurance business, which contributed 92.03% of the total premium.

6.9 Figure 3 below shows the distribution of business written by product line.

4: Distribution of Gross Premium Written (GPW) by Product Line



Breakdown by Product

6.10 In terms of business composition, 71% of the total GPW was generated from the Funeral Assurance business.

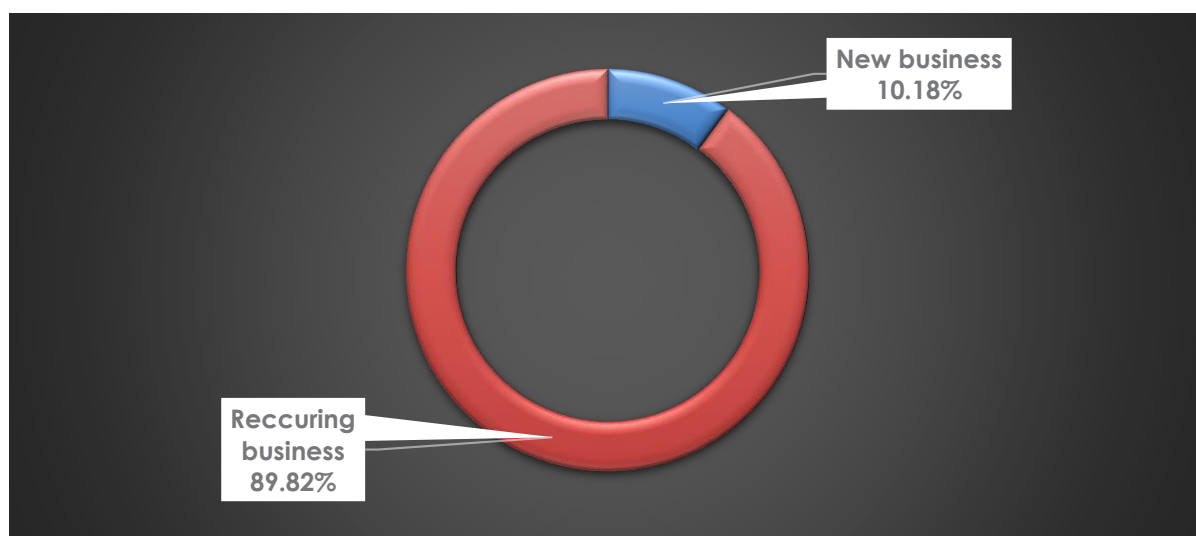
6.11 Traditional Life Assurance products, which include term assurance, endowment policies, pure endowment and whole life accounted for a small proportion of business generated by Life Assurers.

6.12 This reflects a low appetite for traditional Life Assurance products by the market as confidence in the Life Assurance Sector remains low.

6.13 The Commission encourages all Life Assurers to re-design their products in line with customer needs and align them to policyholders' expectations in terms of relevance and value preservation.

6.14 Recurring business contributed 90% of the GPW for Life Assurance Sector for the 3 quarters that ended on 30 September 2022. Figure 4 below shows the distribution of business by source.

Figure 5: Business Composition



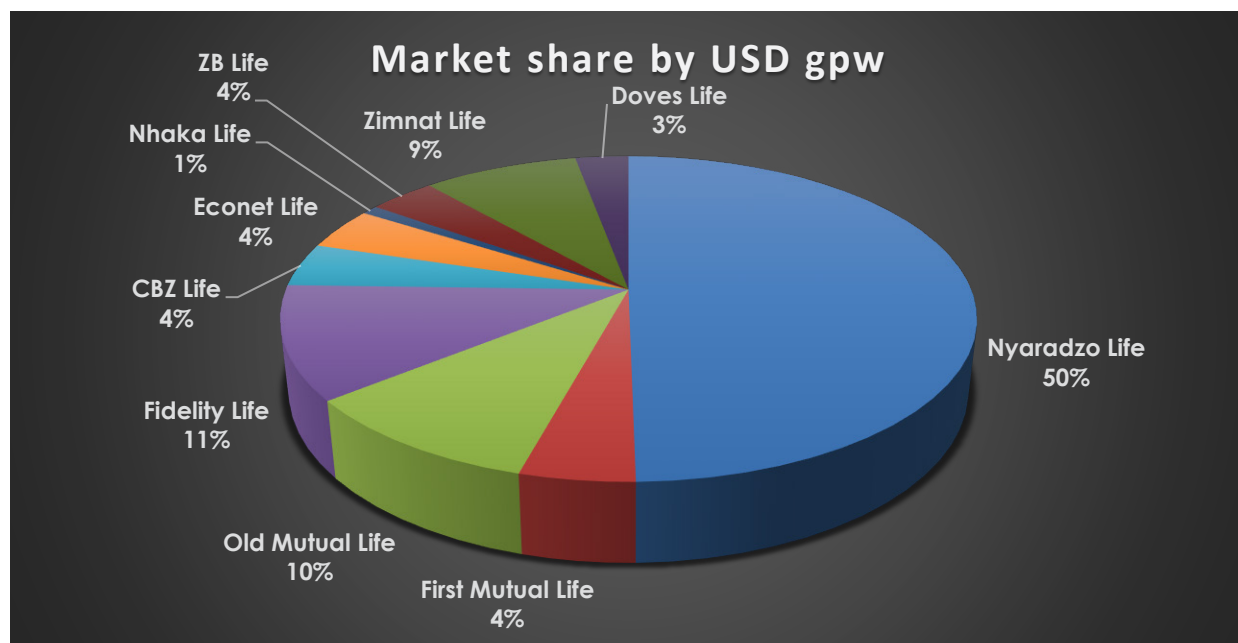
6.15 The low GPW generated from new business reflects the volatile macroeconomic environment which prevailed during the period under review, which limits the uptake of new business due to low disposable incomes. However, there is a slight improvement from the last quarter ended 30 June 2022, where new business was 8% of the GPW, a sign of a slight improvement in economic stability being witnessed in the economy since June 2022.

Foreign Currency Business

6.16 For the 3 quarters that ended on 30 September 2022, the Life Assurance Sector wrote foreign currency business amounting to USD14 million.

6.17 The breakdown of the foreign currency business written by the Life Assurance Sector is shown in figure 5 below:

Figure 6: Distribution of Foreign Currency Business (GPW)



7. Not Taken Up (NTU) Policies

7.1 For the third quarter that ended on 30 September 2022, the Life Assurance Sector reported a total of 38,442 not taken up (NTU) policies with a total nominal gross premium of ZW\$74.2 million (See Table 5 below).

Table 5: Not Taken Up Policies

Company	Number of Policies	Nominal Gross Premium \$(000)
ZB	1,506	2,381,645
Old Mutual	178	323,665
Nyaradzo	-	-
Nhaka	-	-
Doves	250	-
Zimnat	-	-
Evolution	-	-
Econet	36,430	71,329,940
Evolution	-	-
Fidelity	55	149,580
First Mutual	23	36,800
Total	38,442	74,221,630

Lapsable Policies

7.2 For the 3 quarters that ended 30 September 2022, the sector had a total of 2.1 million lapsable policies. A total of 231,184 policies lapsed during the period under review, translating to a lapse ratio of about 11.3%.

7.3 The lapse ratio of 11.3% is greater than the lapse ratio of 10% recorded for the comparative period that ended 30 September 2021 indicating an increase in lapses.

7.4 The increase in lapses indicates that more policyholders are failing to maintain their policies, a situation that may be linked to the prevailing volatile economic environment.

Table 6: Lapse ratios

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB / Corporates)	Lapse Ratio
Fidelity	268	316	0	117.91%
Econet	1,079,581	196,693	0.00%	18.22%
CBZ	-	-	-	0.00%
Nyaradzo	-	-	-	0.00%
Zimnat	52,908	2,597	-	4.91%
ZB	15,508	2,098	-	13.53%
Evolution	0	0	-	0.00%
Old Mutual	83,984	2,345	0	2.79%
First Mutual	72,088	2,166	-	3.00%
Doves	114,003	874	-	2.05%
Nhaka	745	223	-	35.17%
Total	2,050,673	227,038	4,146	11.27%

***Heritage Life failed to submit its returns*

8. Capitalisation

- 8.1 As at 30 September 2022, all the 11 Life Assurers, reported capital positions that were compliant with the existing MCR of ZW\$75 million under SI 95 of 2017 (see Table 7 below).
- 8.2 An adequately capitalised Life Assurance sector is crucial for policyholder protection.
- 8.3 Adequate capital also helps to increase policyholder confidence within the insurance industry as business is based on going concern concept.
- 8.4 ZICARP, a new risk-based solvency assessment will be launched effective 1 January 2023. To minimise need for regular review of Absolute Minimum Capital Requirement (AMCR) under ZICARP, the amounts will be indexed to USD. The AMCR will be considered when determining the MCR component under ZICARP. Entities are required to prepare for the new USD-Indexed AMCR as the industry transition to ZICARP to avoid unnecessary last-minute surprises.

Table 7: Trends in the Capital Positions for Life Assurance Companies

Company	Capital Position Trend ZWL(000)	
	2022 Q2	2022 Q3
CBZ	3,162,733	3,035,807
Doves**	3,024,553	3,592,371
Econet	4,152,541	4,829,391
Evolution	331,939	327,998
Fidelity	817,001	728,710
First Mutual	12,318,912	12,783,791
Nhaka	275,724	664,890
Nyaradzo	11,323,925	12,068,248
Old Mutual	57,980,146	54,029,411
ZB	2,083,318	5,694,466
Zimnat	2,934,906	2,976,087
Total	98,405,698	100,731,170

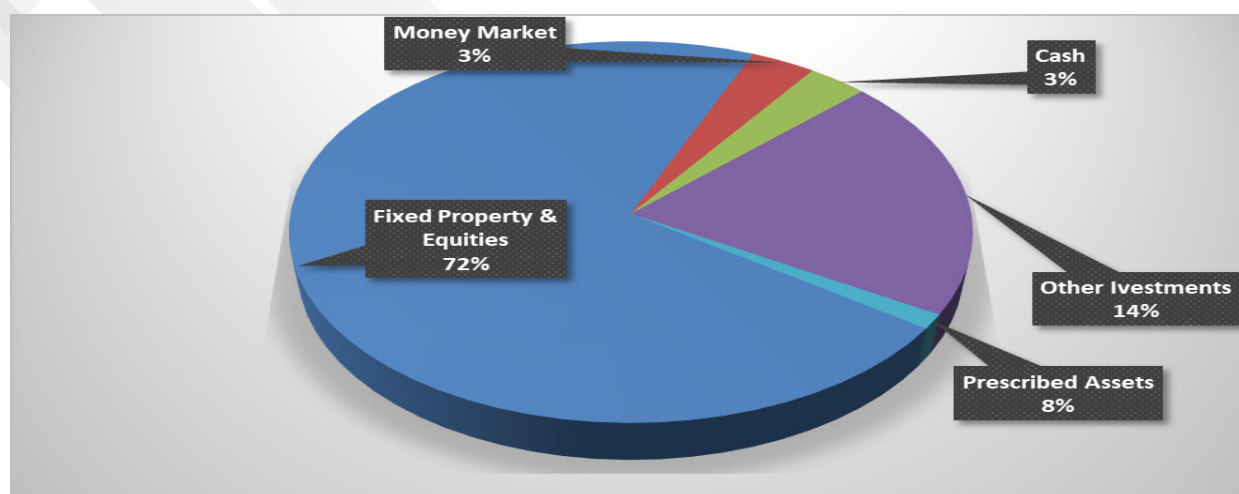
- 8.5 Entities are required to continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017 and to submit ZICARP Framework dry runs.

9. Asset quality

- 9.1 As at 30 September 2022, the life assurance sector reported total assets amounting to ZW\$214.6 billion in nominal terms, representing a nominal increase of 10% from ZW\$194.8 billion reported as at 30 June 2022.
- 9.2 The nominal growth in the sector's assets was mainly driven by properties investments revaluation in line with inflation.
- 9.3 Fixed Properties and Equities constituted about 71.7% of total assets for Life Assurers, a reflection of the general long-term nature of liabilities for the Life Assurance Sector.
- 9.4 The Life Assurance Sector entities are expected to invest in assets that matches their liabilities in terms of nature, term and currency.

9.5 Figure 6 below, shows the asset breakdown for the Life Assurance Sector for the as at 30 September 2022.

Figure 7: Assets Breakdown



**Other investments include plant and equipment, receivables, deferred tax assets, technical assets, deferred acquisition costs and unquoted shares*

Prescribed Assets

- 9.6 Two out of the eleven life assurers were compliant with the minimum prescribed asset ratio of 15% of adjusted assets.
- 9.7 Nhaka and Fidelity Life Assurance companies reported prescribed asset ratios of 82.4% and 19.3% respectively.
- 9.8 For the period under review, the total investments in prescribed assets by the Life Assurance Sector amounted to ZW\$17.6 billion translating to a sector compliance level of 8.24%.
- 9.9 With the introduction of Gold Coins, which have been accorded Prescribed Asset Status, the Commission expects compliance ratios to gradually improve. Those entities who have invested in Gold Coins are advised to notify the Commission through their quarterly returns.
- 9.10 Prescribed Assets investments are an important resource mobilisation tool for funding Projects of national importance for socio-economic development.
- 9.11 The Commission is expecting Life Assurance entities to invest in prescribed asset accorded value-preserving projects as a way of ensuring both compliance and policyholder value preservation.

10. Reassurance

- 10.1 Out of the ZW\$37.5 billion GPW written by direct Life Assurers during the period under review, ZW\$ 989.3 million was ceded to reinsurers, translating to a reinsurance ratio of 2.64%.
- 10.2 The reinsurance ratio for the Life Assurance Sector remains low. The Commission, therefore, calls for sector players to fully embrace reinsurance as a risk management tool, that helps to protect their balance sheets.
- 10.3 Reinsurance is also important in cushioning the balance sheet during periods of high claims experience.

11. Earnings

- 11.1 In nominal terms, total profit after tax for Life Assurers increased by 2,474% from ZW\$12.80 billion for the three quarters ended 30 September 2021 to ZW\$64.5 billion for the current reporting period mainly due to fair value adjustments.
- 11.2 This translates to an inflation-adjusted increase of 32%, indicating that the Sector recorded a positive real growth in profit.
- 11.3 The combined ratio for the Life Assurance Sector decreased from 88% for the three quarters ended 30 September 2021 to 79% for the comparable period in 2022 (See annexure 1), indicating an increase in underwriting margin.
- 11.4 This position is after adjusting for transfer to reserves, which were very significant for the period under review.

12. Liquidity

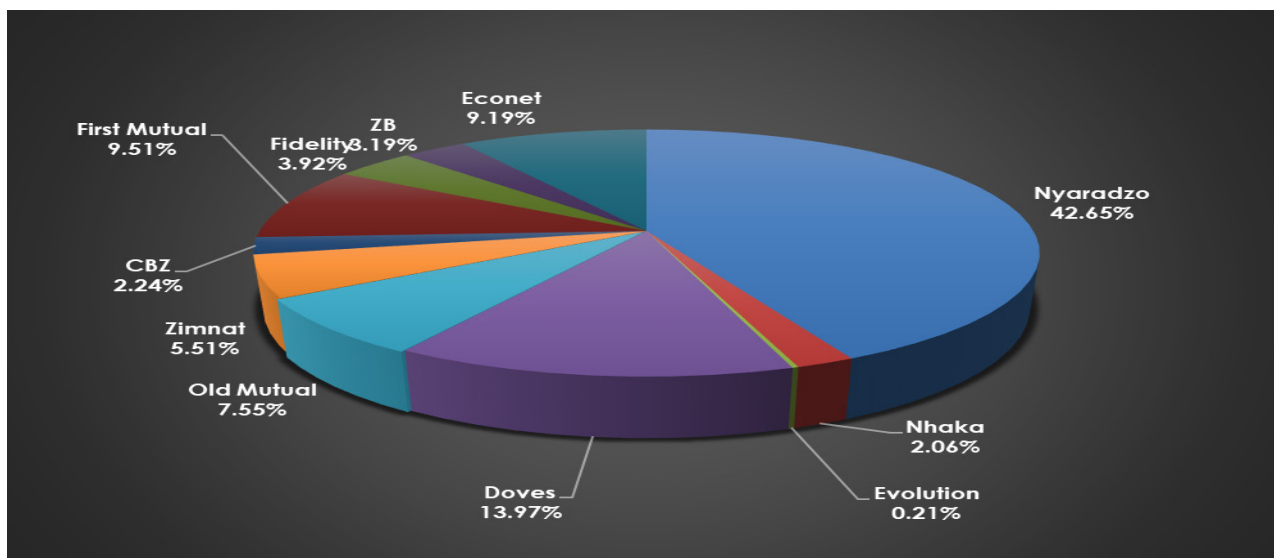
- 12.1 For the period under review, the Life Assurance Sector reported a total of ZW\$26.5 billion of current assets compared to ZW\$18.3 billion reported for the period ended 30 September 2021.
- 12.2 Current liabilities amounted to ZW\$92.4 billion, translating to negative working capital of ZW\$65.9 billion, for the period under review.
- 12.3 The Life Assurance Sector's average current ratio was 29% as at 30 September 2022, showing insufficient liquidity to cover short-term contractual obligations as they fall due.
- 12.4 Liquidity is important for sector entities as it helps to ensure smooth daily operations, therefore sector players should strive to always have adequate liquidity.



13. Market Share

- 13.1 For the period ended 30 September 2022, one entity, dominated the Sector with a market share of 43% in terms of GPW, with the other entities sharing the balance.
- 13.2 The market leaders in terms of GPW, are entities whose business portfolio are dominated by funeral assurance business, highlighting the dominance of the funeral assurance business in the life assurance sector.
- 13.3 Figure 7 below shows the market share distribution for the Life Assurance Sector in terms of GPW:

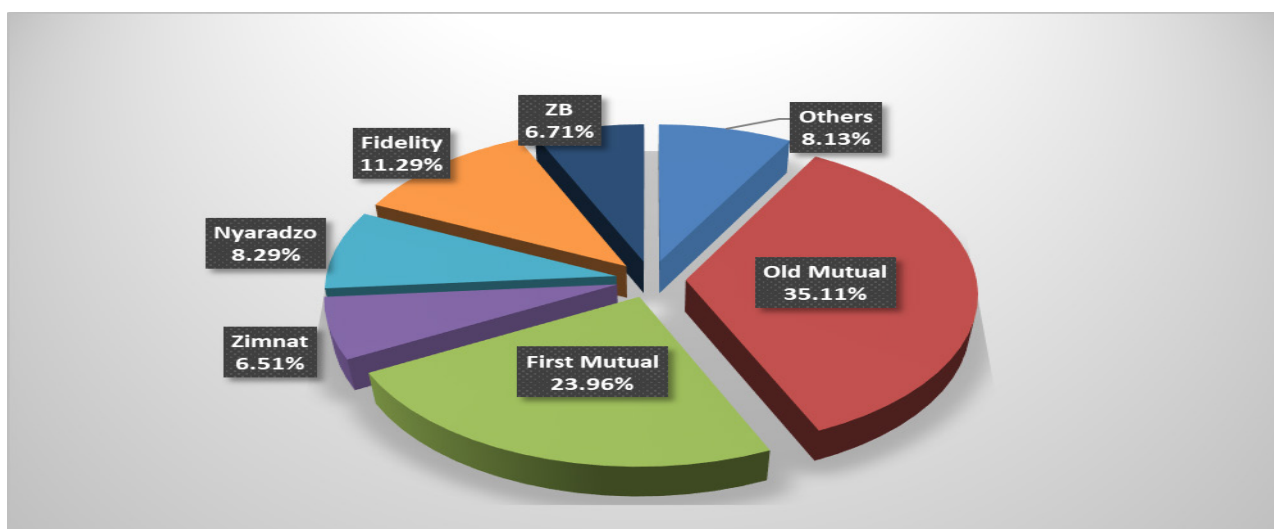
Figure 8: Market Share in terms of GPW



*Heritage Life did not submit the returns for the quarter

- 13.4 In terms of assets distribution one player continues to dominate the Sector with a share of 35% of total sector assets with the other entities sharing the remaining 65%.
- 13.5 Figure 8 below shows the distribution of assets by Entity.

Figure 9: Distribution of Assets by Life Assurance Players



*Other comprises Econet Life, Doves Life, Evolution Life, CBZ Life, and Nhaka Life.

*Heritage Life did not submit the returns for the half year.

14. Nature of the Reassurance Business

- 14.1 While all Life Reassurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to their Life Assurance business, except for their capital positions, which comprise both life and non-life position.
- 14.2 The figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.
- 14.3 The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of the Common Market for Eastern and Southern Africa (COMESA) and writes business in all COMESA Member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

15. Performance in terms of Business Written

- 15.1 The volume of Life Reassurance business written, in terms of GPW, increased by 196% in nominal terms from ZW\$396.1 million reported for the period ended 30 September 2021 to ZW\$1.17 billion for the period that ended 30 September 2022 (See Table 8 below).
- 15.2 The growth was attributable to upwards reviews of premiums in response to rising inflation.
- 15.3 After adjusting for inflation, the sector experienced negative growth of 22% to inflation adjusted GPW of ZW\$308.5 million. This indicates that the growth in inflation on a year-on-year basis outweighed the growth in premiums.
- 15.4 Life Reassurance companies reported Foreign Currency business amounting to US\$1,7 million for the period ended 30 September 2022.

Table 8: Breakdown of GPW for Reassurers

Company Name	Q3 2022 Total Premium (000)	Q3 2021 Total Premium (000)	2022 Q3 (Inflation adjusted ZWL\$000)	Real Growth after inflation adjustment	Nominal Growth (%)
First Mutual Reinsurance	77,759	24,764	20,441	-17%	214%
FBC Reinsurance	346,246	71,191	91,022	28%	386%
Emeritus Reinsurance	561,501	253,710	147,608	-42%	121%
ZEP RE-Insurance	188,101	46,388	49,448	7%	305%
Total	1,173,607	396,053	308,519	-22%	196%

16. Capitalisation

- 16.1 As at 30 September 2022, all four Composite Reassurers were compliant with the minimum capital requirement (MCR) of ZW\$112.5 million based on their unaudited returns (see Table 10 below).
- 16.2 Adequate capitalisation is crucial for the resilience and protection of the underlying policyholders' contracts with direct Life Assurers.

16.3 All entities are required to continuously carry out their capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017 and the ZICARP Framework.

Table 9: Trend in the Capital Position for Composite Reassurers

Company Name	Capital (Net Assets) Sept 2022 (ZWL\$ 000)	Capital (Net Assets) Jun 2022 (ZWL\$ 000)
First Mutual Reinsurance	235,385	326,336
Emeritus Reinsurance	274,854	2,539,900
FBC Reinsurance	3,007,023	1,137,851
ZEP Re-insurance	872,420	481,305
Totals	4,389,682	4,485,392

**Please note, the capital positions above comprises both life and non-life reinsurance business (Composite Reinsurance Business).*

17. Asset Quality

17.1 Total assets for life reassurers increased by 18% from ZW\$7.2 billion reported as at 30 June 2022 to ZW\$8.5 billion as at 30 September 2022.

17.2 The growth in total assets was mainly due to significant fair value adjustments and revaluations of assets.

17.3 Other investments other than the money market, cash, and fixed properties and equities constituted 63.18% of the total assets, while fixed property constituted 24.59%.

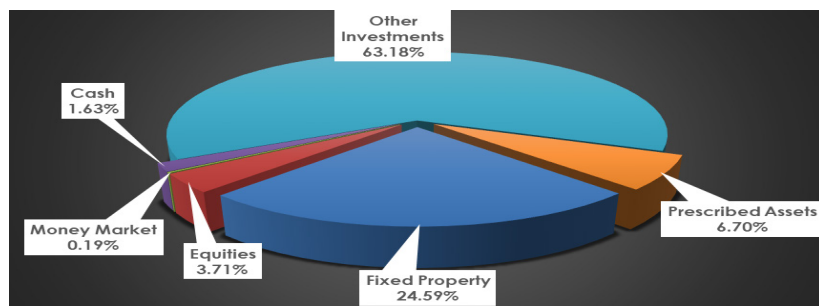
17.4 Liquid assets such as money market instruments and cash, constituted only 1.82% of the total assets.

17.5 The Sector players are supposed to hold adequate liquidity for settling claims, given that the sector mainly writes short-term insurance contracts, covering the risk of life assurance companies.

17.6 However, more investments in long-term assets reflect sound management decisions in preserving value for policyholders amid the unfavourable investment performance from money markets in the obtaining inflationary environment.

17.7 In an inflationary environment, Sector players should continue to be prudent in their investments, by investing in value-preserving assets to protect policyholder funds.

Figure 10: Life Reassurers' Total Assets



**Other investments below include plant and equipment, deferred tax assets, deferred acquisition costs, and unquoted shares.*

Prescribed Assets

- 17.8 As at 30 September 2022, two (2) out of the four (4) Life Reassurers were compliant with the minimum prescribed asset threshold of 15% of total adjusted assets.
- 17.9 Total investments in prescribed assets by the Life Reassurance Sector amounted to ZW\$571.12 million, translating to an average compliance level of 50% of the industry players.
- 17.10 The introduction of Gold Coins, which have been accorded Prescribed Asset Status will likely improve compliance for the remaining 2 players.
- 17.11 Prescribed asset investments are an important resource mobilisation tool for funding national infrastructure projects.
- 17.12 The Commission requires the two(2) non-compliant Life Reassurers to follow their compliance plans to achieve compliance.

Table 10: Prescribed Assets Ratios for Reassurance Sector Players.

Reinsurer	Prescribed asset Investments ZWL(000)	Total assets ZWL(000)	Prescribed asset ratio %	Amount required to be compliant ZWL(000)	Variance in compliance%
First Mutual Reinsurance	81,412	266,592	30.54%	-	0.0%
FBC Reinsurance	283,922	3,976,500	7.14%	312,553	7.9%
Emeritus Reinsurance	2,000	3,219,902	0.06%	480,985	14.9%
ZEP RE-Insurance	203,785	1,065,066	19.13%	-	0.0%
Total	571,119	8,528,060	6.70%	708,090	8.3%

18. Earnings

- 18.1 For the three quarters which ended on 30 September 2022, the Life Reassurance Sector's profit after tax increased by 1,062% from ZW\$199.11 million reported for the period ended 30 September 2021, to ZW\$2.31 billion or the current reporting period.
- 18.2 After adjusting for inflation, profit after tax for Life Reassurers increased by 507% to ZW\$1.21 billion for the third quarter ended 30 September 2022.
- 18.3 The increase in profit after tax is mainly attributed to significant increases in fair value gains from price adjustments in assets.
- 18.4 In terms of underwriting profits, the Reassurance Sector recorded a profit of ZW\$167.72 million. The underwriting profit was mainly driven by high premium income, due to increases in the amount of Group Life Assurance business and a reduction in claims and commission costs.
- 18.5 The Life Reassurance Sector had a combined ratio of 80% for the third quarter that ended 30 September 2022.
- 18.6 The Commission encourages the sector to employ prudent cost-cutting measures and widen their premium income streams, to continue improving their combined ratios.

19. Liquidity

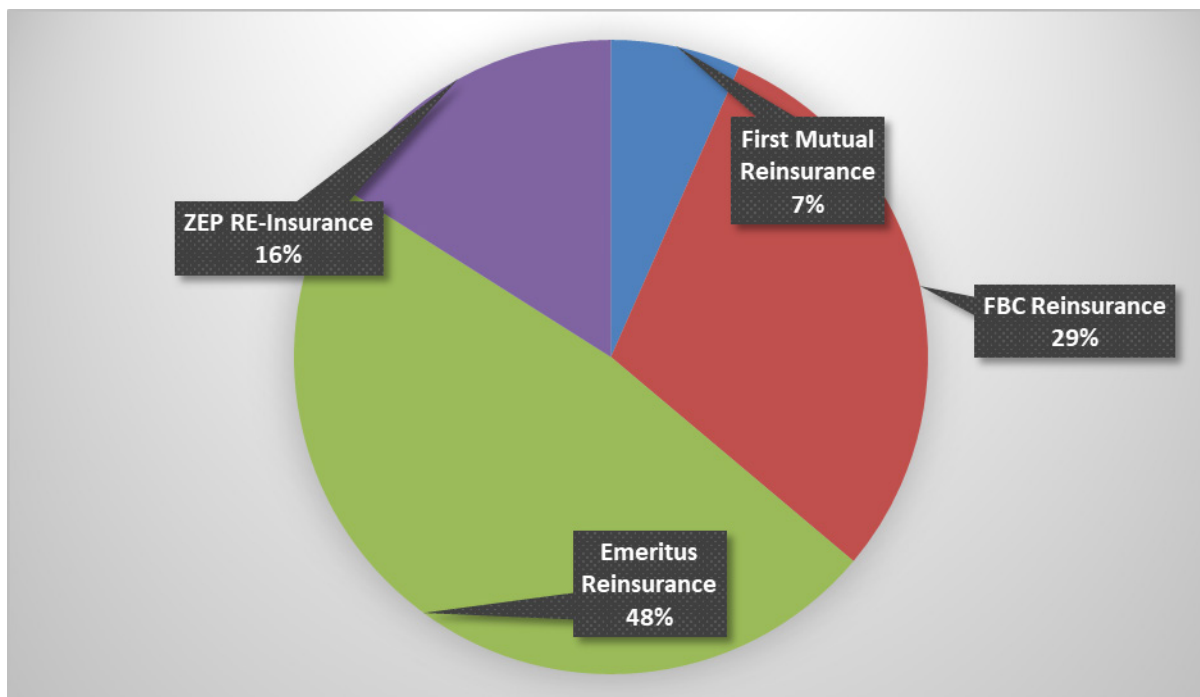
- 19.1 As at 30 September 2022, the Life Reassurance Sector reported current assets amounting to ZW\$5.4 billion.
- 19.2 Current liabilities amounted to ZW\$4.1 billion, translating to working capital of ZW\$1.3 billion as at 30 September 2022.
- 19.3 The Life Reassurance Sector's average current ratio was 131% as at 30 September 2022, showing sufficient liquidity to cover short-term contractual obligations as they fall due.
- 19.4 Though liquidity for the Sector has significantly increased, it is imperative for the sector to continue holding enough current assets to cover its current liabilities.

20. Market Share

Market Share in terms of GPW

- 20.1 GPW for the Life Reassurance Sector remains concentrated in one player, controlling a market share of 48% while the remaining three entities controlled the remaining 52%.
- 20.2 The breakdown of the market share of Sector players in terms of GPW is shown in Figure 10 below:

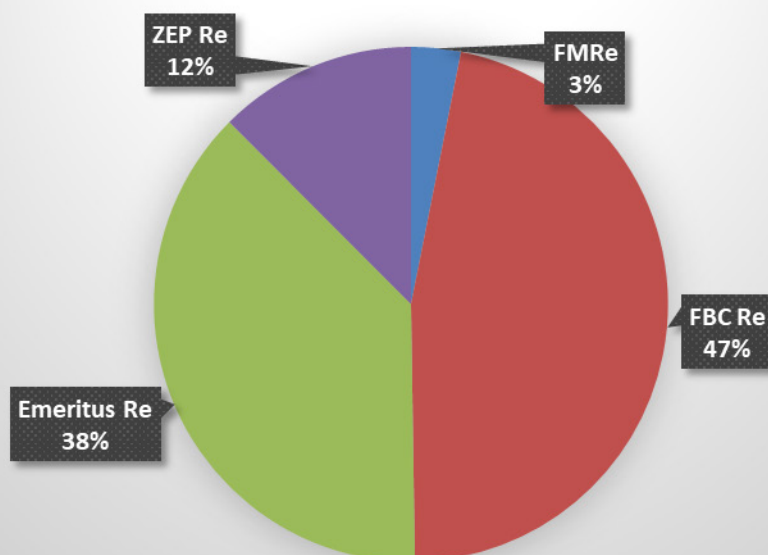
Figure 11: Market Share by Gross Premium Written



Market Share in terms of Total Assets

- 20.3 In terms of total assets, one player controlled 47% of the total assets, while the remaining three players controlled 53% of the sector total assets.
- 20.4 Breakdown of sector's assets by players, is shown in Figure 11 below.

Figure 12: Market Share Distribution in Terms of Total Assets



21. Complaints

21.1 During the 9 months under review, the Commission received 52 life assurance-related complaints, and of these complaints, thirty-five (35) were resolved while sixteen (16) are still outstanding. The major source of complaints was unsatisfactory service, which constituted 42 percent of the complaints, while low policy values related to the Commission of Inquiry constituted 27 percent.

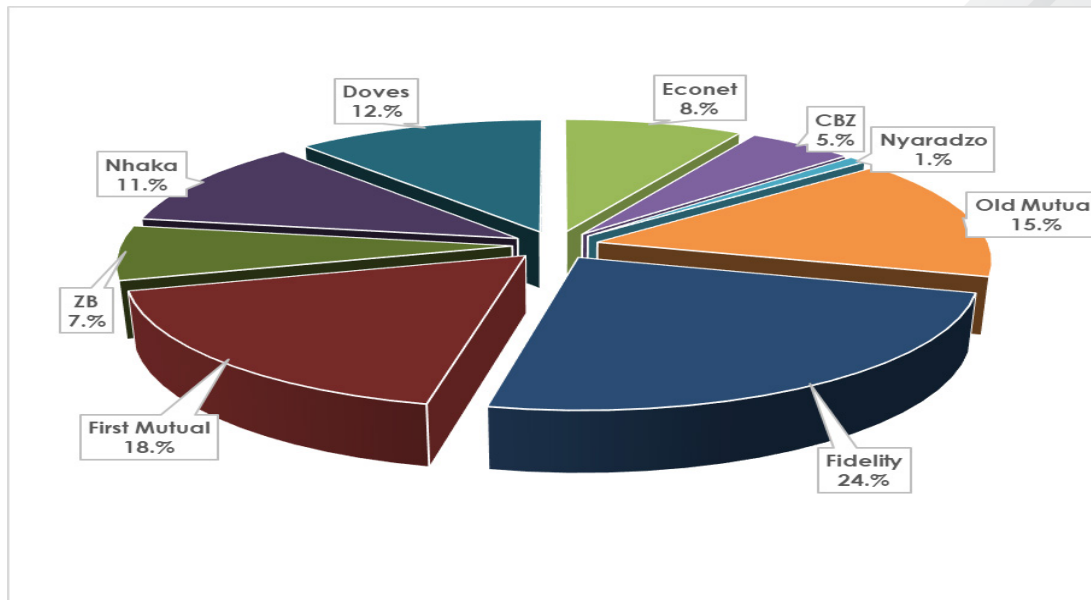
Nature of complaints	Number of complaints	Percentage of total
Delay in settlement	8	15%
Repudiation	8	15%
Commission of Inquiry	14	27%
Not satisfied with the service	22	42%
Total	52	100%

21.2 Life Assurers are directed to offer their service as agreed in the assurance contracts that they would have entered with policyholders. This will help to reduce complaints from policyholders because of unsatisfactory service.

22. Complaints breakdown by player

22.1 In terms of breakdown of complaints by player, 57% of complaints were against 3 players which are Fidelity Life, First Mutual Life and Old Mutual Life with 24%, 18% and 15% respectively. The remaining 43% were against the remaining 6 players. Of the 11 players who submitted their returns, 2 players did not have complaints against them for the quarter under review.

Figure 13 : Complaints breakdown by entity



22.2 Players with the majority of complaints should put in place measures to address any inadequacies in their claims process to reduce complaints.

23. ANTIMONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM AND PROLIFERATION FINANCING

23.1 Implementation of Targeted Financial Sanctions Against Terrorist and Proliferation Financing

Introduction

23.1.1 The Financial Action Taskforce (FATF) Recommendation 6 and 7 requires countries to implement the targeted financial sanctions regimes to comply with the United Nations Security Council resolutions (UNSCRs or resolutions) relating to the prevention and suppression of terrorism and terrorist financing¹ and proliferation financing².

23.1.2 The objective of the requirements is to prevent designated persons and entities involved in financing of terrorism or in proliferation of weapons of mass destruction from raising, moving, and using funds.

23.1.3 In line with the country's international obligations as mandated by the United Nations and the Financial Action Task Force, Zimbabwe has in place the legal framework for implementation of targeted financial sanctions. The country enacted the Suppression of Foreign and International Terrorism Act [Chapter 11:21], and the supporting regulations statutory instruments SI.76 of 2014 and SI.110 of 2021 (which repealed SI. 56 of 2019).

23.1.4 The Financial Intelligence Unit (FIU) issued a Guidance on '*Targeted Financial Sanctions Relating to Financing of Terrorism and Financing Proliferation of Weapons of Mass Destruction*' in July 2021.

¹ Terrorist financing is the financing of terrorist acts, and of terrorists and terrorist organisations.

² Proliferation financing means the act of providing funds or financial services which are used, in whole or in part, for the manufacture, acquisition, possession, development, export, transshipments, brokering, transport, transfer, stockpiling or use of nuclear, chemical or biological weapons and their means of delivery and related materials (including both technologies and dual-use goods used for non-legitimate purposes), in contravention of national laws or, where applicable, international obligations.

23.1.5 Recommendation 6 is intended to assist countries in implementing the targeted financial sanctions contained in the UNSCRs relating to the prevention and suppression of terrorism and terrorist financing:

- (i) UNSCR 1267 (1999) and its successor resolutions (the Al-Qaida/Taliban sanctions regimes);
- (ii) UNSCR 1373 (2001) (designated by the country); and
- (iii) any future UNSCRs which impose targeted financial sanctions in the terrorist financing context.

23.1.6 The resolutions require countries to freeze, without delay, the funds or other assets of, and to ensure that no funds or other assets are made available, directly or indirectly, to or for the benefit of, any person or entity designated.

23.1.7 Targeted financial sanctions relating to proliferation financing are applicable to:

- (a) persons or entities engaging in or providing support for, including through illicit means, proliferation-sensitive activities and programmes;
- (b) persons acting on behalf of, or controlled by, or at the direction of designated persons or entities;
- (c) persons or entities assisting designated persons or entities in evading sanctions or violating resolution provisions.

23.2 SANCTIONS SCREENING OBLIGATIONS FOR IPEC REGULATED ENTITIES

23.2.1 All regulated entities have to comply with targeted financial sanctions directed at people or organisations sanctioned for reasons related to terrorism or the financing of proliferation.

23.2.2 All regulated entities are required to screen names and addresses against the consolidated list of designated persons and entities (including entities owned or controlled by them) published by the UN Security Council or its Committee in ensuring compliance with all elements of targeted financial sanctions.

23.2.3 Entities should apply targeted financial sanctions to persons/entities acting on behalf of or at the direction of designated persons/entities.

23.2.4 They should also apply other preventative measures to combat increasingly prevalent use of sophisticated sanctions evasion techniques by proliferation networks (*e.g. the use of multiple shell and front companies*) in identifying and detecting the persons, entities, and transactions related to proliferation financing.

23.3 When Should Entities Conduct Screening

23.3.1 Regulated entities are required to review the UN Consolidated List and the Zimbabwe List prior to:

- (i) conducting any transaction;
- (ii) undertaking any financial service; or
- (iii) entering into any relationship with any person or entity to ascertain whether or not the name of such a person or entity is on the Lists.

23.3.2 In line with Section 10 of SI 110 of 2021 Regulated entities should conduct sanctions screening:

- (i) Whenever a new designation is announced by the UNSCR;
- (ii) When a new customer is being on boarded;
- (iii) When a walk-in customer or a customer who wants to engage in a once off transaction is being attended.

23.3.3 Where the name of a person or an entity is confirmed to be on the Lists, the regulated entity shall:

- a) **freeze, without delay and without prior notice**, the funds or other assets identified as belonging to the person or entity on the Lists, in accordance with subsections 8(1) and 9(1)-(2) of S.I 110 of 2021.
- b) ensure that;
 - (i) the accounts, properties or assets are not operated;
 - (ii) no financial services are provided to the designated person;
 - (iii) they forward to the FIU any "Suspicious Transaction Report" as well as reports or information on all actions taken to freeze the funds and other assets, and any attempted transactions, in accordance with subsection 9(4) of the MLPC Act.
 - (iv) **They file a nil return to the FIU** where no positive matches have been identified.

23.4 Effective Screening and Monitoring Systems: Entities must maintain real-time sanctions screening systems in place for all cross border transactions (both incoming and outgoing), that are capable of identifying a match against any internal and vendor supplied UNSCR lists maintained by the institution. Where an entity uses a screening list provided by a third-party vendor, the vendor's Service Level Agreement with the entity should ensure that the list is updated immediately upon any new designation as required.

23.4.1 The systems should be capable of screening and monitoring all aspects of customer onboarding as well as payment messages, including all additional information provided by the ordering institution or the customer when conducting wire transfers.

23.5 **Internal Controls:** Entities are required to develop and maintain adequate internal controls (including due diligence procedures and training programs as appropriate) to identify existing accounts, transactions, funds or other assets of designated persons and entities. The controls should guide the entity in fulfilling the obligation of immediately freezing any identified funds or other assets held or controlled by designated persons and entities.

23.5.1 Entities should implement reasonable procedures to prevent designated persons and entities from conducting transactions with or through them. Institutions should consider the level of risk when obtaining beneficial owners, signatories and powers of attorney information with respect to accounts or transactions when searching for activities by designated persons or entities.

23.6 **Reporting:** Section 12 of SI 110 stipulates that every financial institutions and designated non-financial businesses and professions shall report to the FIU any assets frozen or actions taken in compliance with the prohibition requirements of the relevant UNSCRs, including attempted transactions, for review and utilization by the FIU.

- 23.6.1 A nil report will also be made to the FIU when no funds or other assets are identified. A nil report must also be submitted when a new listing is made by the UNSCR and no match is found in the designated institution's books.
- 23.6.2 Where there is suspicion of TF/PF, a suspicious transaction report (STR) must be filed with the FIU.
- 23.6.3 ALL reports to the FIU should be submitted through the GoAML platform.
- 23.7 **Record Keeping:** Section 24 of the MLPC Act sets out the record-keeping obligations, prescribing what must be covered by such records as well as the minimum length of time for which such records should be kept. The record-keeping obligations are meant to assist the FIU and law enforcement agencies should the need arise to investigate a customer or a transaction.
- 23.8 **Cooperation:** Regulated entities are required to counter terrorist and proliferation financing through adequate cooperation and coordination between themselves and the FIU in order to ensure there is no sanction evasion.

23.9 PENALTIES FOR NON-COMPLIANCE WITH CFT/CPF OBLIGATIONS

- 23.9.1 Non-compliance by regulated entity with any of the CFT/CPF obligations relating to the implementation of Targeted Financial Sanctions under Statutory Instruments 76 of 2014 and 110 of 2021, attracts either criminal sanctions or civil penalties (or both). Administrative penalties are enforceable by the FIU and competent supervisors under section 5 of the MLPC Act.

24. Conclusion

- 24.1 The Commission directs all entities under the Life Assurance Sector to comply with all Regulatory requirements, Statutes, Directives, Guidelines, and Circulars on an ongoing basis.
- 24.2 The Sector is also encouraged to be highly innovative in terms of both product development as well as re-alignment of their business models to adapt to the unfolding realities in the market environment.
- 24.3 The Commission underscores the need for the Life Assurance Sector players to continuously strengthen their balance sheets, to withstand exogenous shocks that can have a devastating effect on their financial stability.

ANNEXURE 1: STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE QUARTER ENDED 30 SEPTEMBER 2022

	Nyaradzo Life Assurance	Nhaka Life Assurance	Evolution Life Assurance	Doves Life Assurance	Old Mutual Life Assurance	Zimnat Life Assurance	C82 Life Assurance	First Mutual Life Assurance Company	Fidelity Life Assurance	ZB Life Assurance	Econel Life Assurance	Totals
Gross Premium Written	16,010,075,946	772,358,538	79,205,700	5,241,830,233	2,835,622,903	2,069,764,311	839,531,476	3,568,872,448	1,471,293,188	1,196,580,430	3,449,870,478	37,535,005,651
Outward Reinsurance Premium	-	35,984	2,943	-	330,472,991	294,194,547	126,905,091	29,919,474	50,153,163	23,339,299	134,315,417	989,338,910
Net Premium Written	16,010,075,946	772,322,554	79,202,757	5,241,830,233	2,505,149,912	1,775,569,764	712,626,385	3,538,952,974	1,421,140,025	1,173,241,131	3,315,555,060	36,545,666,741
Unearned Premiums	-	15,139,451	240,197	-	69,677,940	151,178,552	61,518,553	73,499,895	-	-	47,645,351	418,899,960
Net Earned Premium	16,010,075,946	757,183,103	78,962,559	5,241,830,233	2,435,471,952	1,624,391,212	651,107,832	3,465,453,078	1,421,140,025	1,173,241,131	3,267,909,709	36,126,766,782
Claims Paid	7,197,828,577	14,949,618	9,815,295	1,214,941,922	650,007,171	460,822,128	134,168,698	1,414,452,700	302,127,715	221,718,163	1,115,012,373	12,735,844,359
Claims Outstanding	-	-	-	-	-	-	16,991,358	-	-	15,270,167	19,667,811	21,389,003
Claims Incurred But Not Reported	-	1,731,746	6,673,560	-	689,211,700	-	-	-	-	-	121,626,621	819,243,627
Change in provision for investment	-	-	-	-	13,139,425,388	-	-	-	-	-	-	13,139,425,388
Change in provision for insurance	-	-	-	-	3,788,269,402	-	-	-	-	-	94,130	3,788,175,272
Transfer to Policyholder Funds	3,314,988,467	993,315,283	-	524,183,023	-	-	-	-	-	4,120,132,584	-	8,952,619,357
Net Claims	10,512,817,044	1,009,996,647	16,488,854	1,739,124,945	18,266,913,660	460,822,128	151,160,056	1,414,452,700	302,127,715	4,326,580,581	1,256,212,675	39,456,697,005
Management Expenses	2,734,013,259	4,437,951	-	1,049,983,051	242,455,137	994,148,975	-	-	-	487,308,599	-	5,512,346,971
Net Fees and Commission Paid	933,597,912	15,170,069	18,787,061	318,174,957	23,782,822	288,968,046	93,192,295	122,000,676	114,216,916	243,276,799	542,625	2,171,710,177
Underwriting Profit/(Loss)	1,829,647,731	272,421,563	43,686,645	2,134,547,280	16,097,679,668	119,547,937	406,755,481	1,928,999,703	1,004,795,394	3,883,924,847	2,011,154,409	11,012,987,372
Fair value adjustments (positive)	-	1,179,428,706	-	24,245,563	29,390,299,255.42	5,094,000,537	2,040,976,259	29,599,749,108	5,677,281,404	2,601,964,375	1,945,214,263	77,553,159,471
Dividend Income	41,595,829	-	-	-	1,853,580,079.95	-	4,003,425	67,377,638	3,437,667	30,472,767	23,221,392	2,023,688,799
Rental Income	9,537,762	-	-	64,072,209	211,742,337.75	39,726,415	11,133,504	-	62,382,489	28,387,345	9,164,999	436,147,063
Other Income	233,241,392	45,081,579	-	5,491,938	-	1,260,014,259	168,974,943	-	498,861	23,420,955	320,805,473	1,920,524,331
Other Income2	2,355,516,499	6,319,701	-	-	-	14,117,445	25,184,250	-	-	443,808,329	14,807,526	2,859,753,750
Other Income3	-	93,108	-	-	-	290,169,112	20,102,318	-	58,762,964	5,132,856,247	-	5,344,253,184
Other Income4	-	21,301,449	-	-	-	-	393,709,803	-	12,196,800	-	-	384,605,154
Other Income5	-	339,351	-	-	-	-	-	-	11,062,794,857	-	-	11,063,134,208
Administrative Expenses	1,143,777,194	306,488,176	24,947,685	979,690,394	-	525,650,070	690,492,964	1,667,124,952	528,913,621	263,262,071	2,081,901,140	8,212,248,266
Other Expenses1	-	-	18,766,695	-	266,080,409	4,162,265,771	-	-	26,757,145	23,202,906	32,132,578	4,529,205,505
Other Expenses2	-	-	-	-	-	-	-	-	16,693,307,799	-	836,163,642	15,857,144,157
Other Expenses3	-	-	-	-	-	-	-	-	10,407,183	-	-	10,407,183
Other Expenses4	-	-	-	-	-	-	-	-	1,482,772	-	-	1,482,772
Earnings Before Interest and Taxation	3,215,990,021	583,490,996	27,734	1,248,666,596	15,204,188,062	1,890,563,990	1,552,722,777	33,263,251,401	479,362,388	4,043,678,284	3,046,497,986	64,528,384,766
Interest	20,366,671	-	-	-	-	-	17,264,213	-	9,538	17,036,131	14,712,176	69,388,729
Interest expense	-	-	-	9,584,070	-	-	84,391,531	-	-	-	46,325,910	140,301,512
Earnings Before Tax	3,236,356,692	583,490,996	27,734	1,239,082,526	281,681,588,514	1,890,563,990	1,485,595,459	33,263,251,401	479,371,926	4,060,714,415	3,014,884,252	330,934,872,436
Taxation	922,820,910	-	-	72,896,669	-	68,837,105	537,306	136,174,211	24,897,062	490,181,417	1,902,302	1,445,898,560
Earnings After Tax	2,313,535,782	583,490,996	27,734	1,166,185,857	281,681,588,514	1,821,726,885	1,485,058,153	33,399,425,613	454,474,864	3,570,532,998	3,012,981,950	329,488,973,876
Other Comprehensive Income	-	-	-	-	-	-	590,830,243	-	-	-	-	590,830,243
Other Comprehensive Income2	-	-	-	-	-	-	159,343,601	-	-	-	-	159,343,601
Other Comprehensive Income3	-	-	-	-	-	-	-	-	-	-	-	-
Total Comprehensive Profit/(Loss) for the Period	2,313,535,782	583,490,996	27,734	1,166,185,857	281,681,588,514	1,821,726,885	2,235,231,997	33,399,425,613	454,474,864	3,570,532,998	3,012,981,950	330,239,147,721
Total Comprehensive Profit/(Loss)	2,313,535,782	583,490,996	27,734	1,166,185,857	281,681,588,514	1,821,726,885	2,235,231,997	33,399,425,613	454,474,864	3,570,532,998	3,012,981,950	330,239,147,721

ANNEXURE 2: STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 30 SEPTEMBER 2022

	Nyaradzo Life Assurance	Nhaka Life Assurance	Evolution Life Assurance	Doves Life Assurance	Old Mutual Life Assurance	Zimnall Life Assurance	C&I Life Assurance	First Mutual Life Assurance Company	Fidelity Life Assurance	ZB Life Assurance	Econet Life Assurance	TOTALS
Non-Current Assets												
Intangible Assets	-	1,125,000	-	-	-	21,433,861	-	-	18,403,534	1,897,835	-	42,860,230
Property and Equipment	9,531,056,125	14,256,989	4,579,552	525,855,943	1,608,611,215	107,470,675	816,595,902	108,965,506	9,085,489	114,915,442	229,828,639	13,071,221,478
Investment Property	553,521,243	131,250,000	152,945,140	2,020,130,578	9,286,110,312	2,838,300,000	2,528,249,823	-	8,136,981,199	1,359,944,200	311,315,562	27,318,748,057
Investments: Quoted equities	1,317,710,598	-	3,399,471	141,179,792	48,317,593,053	2,520,476,028	656,467,203	5,920,175,973	681,473,135	664,437,714	3,041,377,951	63,264,290,917
Unquoted equities	700,637,245	-	165,715,650	1,925,250	4,908,241,033	5,101,059,283	225,508,187	2,029,341,321	14,667,972,393	2,187,513,566	542,817,038	30,530,730,966
Bonds	-	-	-	4,222	52,904,380	332,568,276	-	105,510,360	5,624,116	383,874,395	144,773,853	1,025,259,602
Deferred tax asset	-	-	-	-	-	-	-	-	-	-	-	-
Deferred acquisition costs	-	-	-	-	-	-	34,109,522	28,296,942	-	-	-	62,406,464
Other Non-Current Assets1	-	1,747,387,500	14,171,025	-	-	57,765,922	-	41,432,290,493	-	9,117,152,751	161,038,853	52,529,806,544
Other Non-Current Assets2	-	7,847,267	-	-	-	-	-	-	-	2,127,340	266,947	10,241,554
Other Non-Current Assets3	-	-	-	-	64,131,882	73,683,722	-	-	-	33,753,622	-	171,569,226
Total Non-Current Assets	12,102,925,212	1,901,866,756	340,810,837	2,689,095,785	64,237,591,874	11,052,757,767	4,260,930,837	49,624,580,594	23,519,539,866	13,865,616,865	4,443,414,227	188,039,130,420
Current Assets												
Premium Receivable	-	-	-	1,326,811	120,749	80,915,915	34,584,680	559,160,128	117,822,117	-	35,557,067	829,245,949
Money market investments	35,353,979	-	5,000	-	1,064,586,792	550,284,535	220,751,220	567,200,455	-	382,872,871	134,186,585	2,955,241,436
Short term investments	-	35,682,000	-	6,399,505	-	627,048,183	4,491,297	-	-	-	-	673,620,985
Other receivables	2,782,612,212	7,734,759	-	722,844,275	-	1,085,599,183	-	110,070,708	407,485,937	43,197,021	24,704,666	5,184,248,761
Cash and Bank Balances	340,753,980	45,463,248	2,186,571	115,556,719	1,547,591,998	476,397,637	385,542,573	319,186,688	169,747,615	108,561,246	392,402,597	3,132,305,727
Other Current Assets1	1,163,430,085	73,165,231	6,366,910	877,668,660	1,300,724,061	90,056,374	-	3,650,180	2,634,886	-	86,916,278	3,604,612,664
Other Current Assets2	1,366,534,228	56,446,025	-	379,346,405	54,947,545	-	38,674,775	228,065,500	-	-	878,481,170	3,002,495,648
Other Current Assets3	-	285,428	-	-	7,133,792,308	-	398,555	-	-	-	1,496,952	7,135,973,243
Total Current Assets	5,688,684,483	218,776,691	8,558,481	2,103,142,375	11,101,521,954	2,910,301,828	86,642,046	1,787,333,459	697,490,555	534,631,137	1,553,745,314	26,517,744,431
Total Assets	17,791,609,695	2,120,643,447	349,369,319	4,792,238,160	75,339,113,828	13,963,059,596	4,174,288,591	51,411,914,252	24,217,230,421	14,400,248,002	5,997,159,541	214,556,874,852
Liabilities												
Long (Non-Current) Liabilities												
Long Term Loans	-	-	-	11,720,761	-	160,682,311	-	-	-	-	-	172,403,072
Deferred Taxation	1,635,539,555	-	2,370,593	34,669,020	632,246,022	67,143,837	-	248,179,198	-	798,287,782	-	3,418,436,007
Future Policyholder Funds	-	-	254,420	1,126,876,198	-	-	-	-	-	-	-	1,127,130,618
Short (Current) Liabilities												
Outstanding Claims	-	1,483,870	-	-	127,538,079	150,828,519	27,759,672	-	-	2,579,869	19,667,811	329,857,821
Claims Incurred but not Reported	-	4,003,560	8,813,744	-	1,035,907,933	-	35,675,463	-	-	-	183,567,923	1,267,968,623
Paid up policies	-	-	-	-	-	-	-	-	-	-	-	-
Investment contract liabilities	-	1,220,360,899	-	-	14,750,216,784	-	204,890,770	2,010,637,295	6,114,739,370	-	17,044,557	24,317,889,674
Insurance contract liabilities	4,087,822,349	37,038,855	-	-	1,923,518,880	296,661,558	-	34,807,614,798	16,574,071,504	-	60,627,570	57,787,355,514
Additional Unexpired Risk Reserve	-	-	-	-	-	-	-	184,353,059	-	-	-	184,353,059
Retrocession Arrangements	-	-	-	-	-	-	-	-	-	-	-	-
Life Fund	-	-	-	-	-	9,024,356,827	601,365,283	382,120,792	-	7,282,448,261	-	17,290,291,163
Unearned Premium Reserve	-	22,406,246	839,192	-	132,884,037	25,431,263	168,526,538	244,173,305	-	-	112,329,205	706,589,788
Amounts Due To Reinsurers	-	601,831	-	-	-	-	-	-	-	1,588,040	14,657,606	16,847,478
Other Short Term Liabilities												
Other Liabilities1	-	88,941,387	6,366,911	26,601,356	2,113,282,840	108,937,770	55,996,655	-	-	565,766,611	297,050,118	3,262,943,647
Other Liabilities2	-	80,916,911	2,726,832	-	33,672,748	1,145,300,052	44,266,727	53,707,686	17,004,879	55,111,329	345,762,158	1,778,469,322
Other Liabilities3	-	-	-	-	442,550,749	7,630,802	-	30,642,813	781,604,284	-	79,021,139	1,341,449,787
Other Liabilities4	-	-	-	-	293,366,259	-	-	122,238,234	1,100,209	-	37,032,271	453,736,973
Other Liabilities5	-	-	-	-	104,945,862	-	-	543,313,839	-	-	-	648,259,701
Other Liabilities6	-	-	-	-	481,092,245	-	-	1,141,785	-	-	1,008,076	483,242,106
Other Liabilities7	-	-	-	-	129,273,472	-	-	-	-	-	-	129,273,472
Total Liabilities	5,723,361,904	1,455,753,560	21,371,692	1,199,867,335	21,309,709,945	10,986,972,940	1,138,481,107	38,628,122,802	23,488,520,246	8,705,781,892	1,167,768,434	113,825,711,857
SHARE CAPITAL AND RESERVES												
Share Capital	400,000	20,200	38	1,000,000	131,844	200,000	2	7,308	1,089,233	231,908	100	3,080,632
Share Premium	-	34,804,380	2,435,318	-	29,990,000	450,000	1,388,012	41,379,892	671,409	4,431,623	5,685,251	121,235,885
Investment Reserve	-	-	-	-	-	-	-	2,014,048	-	9,217,529	-	11,231,577
Revaluation Reserve	6,347,015,677	-	-	3,701,303	-	15,186	820,842,876	-	621,612,632	165,354,988	254,555,921	8,213,098,583
Non Distributable Reserve	2,068,336,098	-	-	-	33,764,276	2,463,511	-	-	-	-	-	2,104,563,885
Retained Earnings - Prior years	11,694,891,737	46,574,311	325,590,005	2,421,483,662	30,638,645,715	1,151,231,074	557,595,592	-	22,708,729	5,515,230,063	1,556,167,885	42,189,809,578
Retained Earnings - Current year	2,313,535,782	583,490,996	27,734	1,166,185,857	23,326,879,048	1,821,726,885	1,485,058,153	12,740,390,204	-	-	3,012,981,950	46,450,221,140
Other1	3,033,851,972	-	-	-	-	-	170,922,849	-	10,037	-	-	3,204,764,784
Other2	-	-	-	-	-	-	-	-	128,055,666	-	-	128,055,666
SHAREHOLDERS EQUITY	12,068,247,791	664,889,887	327,997,627	3,592,370,822	54,029,410,883	2,976,084,456	3,035,807,484	12,783,791,452	728,710,173	5,694,466,110	4,829,391,107	100,731,169,991
TOTAL EQUITY & LIABILITIES	17,791,609,695	2,120,643,447	349,369,319	4,792,238,157	75,339,113,828	13,963,059,596	4,174,288,591	51,411,914,254	24,217,230,419	14,400,248,002	5,997,159,541	214,556,874,848

ANNEXURE 3 STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 30 SEPTEMBER 2022					
Item	First Mutual Reinsurance	FBC Reinsurance	Emeritus Reinsurance	ZEP RE Insurance	Totals
Non-Current Assets					
Intangible Assets	-	-	-	-	-
Property and Equipment	162,320	79,279,336	141,207	-	79,582,863
Investment Property	-	59,553	2,017,549,515	-	2,017,609,068
Investments: Quoted equities	201,499,786	115,231,183	-	-	316,730,969
Unquoted equities	-	-	-	-	-
Bonds	-	-	-	203,784,919	203,784,919
Deferred tax asset	-	-	94,843	-	94,843
Deferred acquisition costs	-	392,071,581	-	21,569,577	413,641,158
Other Non-Current Assets1	-	-	36,511,000	-	36,511,000
Other Non-Current Assets2	-	-	-	-	-
Other Non-Current Assets3	-	-	-	-	-
Total Non-Current Assets	201,662,106	668,953,360	2,054,296,565	225,354,497	3,150,266,527
Current Assets					
Premium Receivable	5,206,731	-	-	-	5,206,731
Money market investments	7,977,745	8,000,000	-	-	15,977,745
Short term Investments	-	2,050,560,272	576,435,744	-	2,626,996,016
Other receivables	43,868,923	1,118,954,383	64,081,991	839,711,021	2,066,616,318
Cash and Bank Balances	7,876,944	130,032,296	1,479,312	-	139,388,552
Other Current Assets1	-	-	523,608,558	-	523,608,558
Other Current Assets2	-	-	-	-	-
Other Current Assets3	-	-	-	-	-
Total Current Assets	64,930,343	3,307,546,951	1,165,605,605	839,711,021	5,377,793,920
Total Assets	266,592,449	3,976,500,311	3,219,902,170	1,065,065,518	8,528,060,447
Liabilities					
Long (Non-Current) Liabilities					
Long Term Loans	-	-	-	-	-
Deferred Taxation	-	36,097,489	-	-	36,097,489
Short (Current) Liabilities					
Outstanding Claims	10,100,000	-	-	2,448,207	12,548,207
Claims Incurred but not Reported	2,095,628	-	-	100,620,735	102,716,363
Investment contract liabilities	-	-	-	-	-
Insurance contract liabilities	4,670	-	-	-	4,670
Additional Unexpired Risk Reserves	-	-	-	-	-
Recession Arrangements	7,413,615	-	2,028,260	-	9,441,875
Life Fund	-	-	205,766,000	-	205,766,000
Unearned Premium Reserve	-	1,302,582,424	-	89,576,147	1,392,158,571
Amounts Due To Reinsurers	-	-	-	-	-
Other Liabilities1	10,384,917	1,452,733,537	986,589	-	1,464,105,043
Other Liabilities2	1,208,900	413,908,081	4,098,110	-	419,215,091
Other Liabilities3	-	496,324,904	-	-	496,324,904
Other Liabilities4	-	-	-	-	-
Other Liabilities5	-	-	-	-	-
Other Liabilities6	-	-	-	-	-
Other Liabilities7	-	-	-	-	-
Total Liabilities	31,207,730	3,701,646,435	212,878,959	192,645,088	4,138,378,213
SHARE CAPITAL AND RESERVES					
Share Capital	700	900,000	487,727	-	1,388,427
Share Premium	2,288,295	42,703,332	6,281,124	-	51,272,751
Revaluation Reserve	-	54,551,586	-	671,729,832	726,281,418
Non Distributable Reserve	-	37,351	-	-	37,351
Retained Earnings - Prior years	165,872,098	53,660,149	960,831,769	116,070,138	1,296,434,154
Retained Earnings - Current year	67,223,626	123,001,457	2,039,422,591	84,620,459	2,314,268,133
Minority Interest	-	-	-	-	-
Other1	-	-	-	-	-
Other3	-	-	-	-	-
Other4	-	-	-	-	-
Other5	-	-	-	-	-
Other6	-	-	-	-	-
Other7	-	-	-	-	-
SHAREHOLDERS EQUITY	235,384,719	274,853,875	3,007,023,211	872,420,430	4,389,682,234
TOTAL EQUITY & LIABILITIES	266,592,449	3,976,500,311	3,219,902,170	1,065,065,518	8,528,060,447

ANNEXURE 4 STATEMENT OF COMPREHENSIVE INCOME FOR LIFE REASSURERS FOR THE QUARTER EDNDED 30 SEPTEMBER 2022

	First_Mutual_Reinsurance	FBC_Reinsurance	Emeritus_Reinsurance	ZEP_RE-Insurance	Totals
Gross Premium Written	77,758,869	346,245,928	561,501,223	188,100,664	1,173,606,684
Outward Reassurance Premium	12,488,251	103,612,851	69,568,511	13,446,600	199,116,214
Net Premium Written	65,270,618	242,633,077	491,932,712	174,654,064	974,490,470
Unearned Premiums	-	-	-	3,014,042	3,014,042
Net Earned Premium	65,270,618	242,633,077	491,932,712	171,640,021	971,476,428
Claims Paid	22,345,643	32,018,946	170,901,563	42,556,536	267,822,688
Claims Outstanding	-	-	-	1,513	1,513
Claims Incurred But Not Reported	-	-	-	2,384,299	2,384,299
Change in provision for insurance	- 396,512	-	55,467,001	-	55,070,489
Net Claims	21,949,131	32,018,946	226,368,564	44,939,321	325,275,962
Management Expenses	7,841,613	104,428,402	140,871,444	10,204,597	263,346,056
Net Fees and Commission Paid	11,645,869	52,249,471	114,723,807	42,548,306	221,167,453
Underwriting Profit/(Loss)	23,834,006	53,936,258	9,968,896	79,975,881	167,715,041
Fair value adjustments (positive)	-	115,231,183	-	-	115,231,183
Dividend income	-	-	-	-	-
Other Income	- 4,265,239	-	3,688,173	-	- 577,066
Other Income2	47,654,859	-	212,750,188	-	260,405,047
Other Income3	-	-	1,747,630,850	-	1,747,630,850
Administrative Expenses	-	-	-	-	-
Earnings Before Interest and Taxation	67,223,626	169,167,441	2,039,335,890	79,975,881	2,355,702,838
Interest	-	302,740	-	4,644,578	4,947,318
Earnings Before Tax	67,223,626	169,470,181	2,039,335,890	84,620,459	2,360,650,156
Taxation	-	46,468,724	- 86,700	-	46,382,024
Earnings After Tax	67,223,626	123,001,457	2,039,422,590	84,620,459	2,314,268,132
Total Comprehensive Profit/(Loss) for the Pe	67,223,626	123,001,457	2,039,422,590	84,620,459	2,314,268,132
Total Comprehensive Profit/(Loss)	67,223,626	123,001,457	2,039,422,590	84,620,459	2,314,268,132

